

Student name: Aryan shrenick Kothari

Student I'd: 0298277

Subject : Excel modelling resit

BIOFRESH SAS

I. SECTOR BACKDROP

In the last decade, the French organic food market has changed structure. Following the rarity of a 15–20% annual growth rate from the previous five years (2016–2021), the market experienced a downturn during the post-pandemic era, leading many premium carriers, such as Bio c'Bon (2021) and Naturalia (which went through a financial restructuring in 2023), into significant financial troubles. But the basics were intact amidst the storminess.

The organic trade segment, Agence Bio's 2024 Annual Report shows, stabilised, increasing by 8.1%, illustrating the demand for organic in the independent grocery and food-service sectors, those markets that are the core of BioFresh's activity. The business, consequently, comes with an unique mixture of resilience during the downturn plus exposure for the recovery.

II. THE COMPANY

Born in Lyon in 2011, BioFresh SAS is composed of two Lyon based former Carrefour's category managers, Mrs. Céline Arnaud (CEO) and M. Julien Marty (COO). It sells certified-organic products (fresh produce, ambient dry goods, and dairy alternatives), to a network of some 420 independent grocery shops and stores, farm-to-table restaurants and accountancy or food service operators in three regions (Auvergne-Rhône-Alpes, PACA and Grand Est, 67, 22 and 11% respectively of the company's revenues).

The three points of the company's competitive moat are an exclusive supply agreement with 17 cooperative cellar certifications in Drôme and Ardèche, a temperature-controlled distribution system that clients have had for years, before which competitors haven't been able to achieve a similar return on investment, and preferential margins; the client's engagement average of over 6 years, with a net renewal rate of more than 105%.

Geographic expansion is the priority that Management is looking to achieve as part of its stated strategic focus, and they are seeking to expand into the Occitanie region (Toulouse–Montpellier) where the rate of implantation for organic foods is under national average. A pilot program in Q3 2024 has already yielded 38 accounts to be considered for the pipeline. But the investment a new cold storage facility and increased fleet size would make significant demands on the existing ownership structure.

III. THE TRANSACTION

Verdant Capital Partners is a mid-market private equity firm (Fund III, €320M AUM) focused on the French agri-food value chain with a special interest in mid and large caps. Since 2018, the fund has acquired seven platforms with an IRR of 20-25%, and IRR of 3.0-5.0x of the platforms over 5-year holds.

In January 2025, Verdant made a non-binding offer for the entire share capital of BioFresh covering the shares by enterprise value of €75 million. The offer is viewed as the last one as a second potential acquirer, a strategic buyer from the Netherlands, pulled out because of integration issues. The founders are willing to contribute about 10% of their proceeds to the new entity as the incentives are aligned after closing.

The proposed equity/funding structure is 40% equity 60% bank debt (senior secured). Verdant's investment committee has a 20% minimum IRR (unlevered hurdle – at or above 12%) with it taking no action unless the deal is positive NPV in at least two of the three different scenarios (Bear / Base / Bull) that were modelled below.

IV. YOUR MANDATE

You are the junior member of the deal team. There is a few day delay between the investment committee meetings. Your managing partner Sophie Leclerc has tasked you to create a valuation model from scratch and

meetings. Your managing partner Sophie Lelièvre has tasked you to create a valuation model from scratch and deliver a supported recommendation.

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KEY DRIVERS - BioFresh SAS	
VALUES	
Particular	Value
Revenue - FY2024 (base year)	€44,600
Net Financial Debt - FY2024	€3,200
Proposed Entry Enterprise Value	€75,000
HISTORICAL INCOME STATEMENT RATIOS	
Particular	Value
Revenue CAGR (FY2022 → FY2024)	8.20%
Gross Margin (3-yr avg)	28.50%
SG&A (3-yr avg)	14.50%
EBITDA Margin - FY2024	14.00%
EBITDA Margin - 3-yr average	13.80%
D&A (% of revenue, all years)	3.00%
EBIT Margin - FY2024	11.00%
Interest Coverage Ratio - FY2024	€12
Effective Tax Rate	25.00%
WORKING CAPITAL	
Particular	Value
Days Sales Outstanding (DSO)	€44
Days Inventory Outstanding (DIO)	€29
Days Payable Outstanding (DPO)	€37
NWC as % of Revenue	8.00%
CAPITAL EXPENDITURE (FY2024)	
Particular	Value
Total Capex (% of revenue)	2.50%
of which: Maintenance Capex	1.50%
of which: Growth Capex	1.00%
PROJECTION ASSUMPTIONS (FY2025E - FY2029E)	
Particular	Value
Projection period	5 years
Terminal Growth Rate (for DCF)	2.50%
D&A (% of revenue - all years)	3.00%
Capex (% of revenue - all years)	2.50%
NWC (% of revenue - all years)	8.00%
Tax Rate (all years)	25.00%
THREE SCENARIOS - REVENUE GROWTH & MARGIN ASSUMPTIONS	
Particular	BEAR

Revenue Growth Rate (p.a.)	3.00%
EBITDA Margin - Year 1	13.00%
EBITDA Margin - Years 2-5	13.00%

LBO TRANSACTION STRUCTURE

Particular	Value
Equity Contribution	40.00%
LBO Debt Interest Rate	7.00%
Annual Debt Amortization	€5,000
Exit EV/EBITDA Multiple (Year 5)	12 yr
PE Fund Hurdle Rate	20.00%

ASSUMPTIONS - BioFresh SAS

All amt are in €k

HISTORICAL ANCHOR VALUES

Revenue FY2024	€44,600
Revenue CAGR (FY22-FY24)	8.2%
Revenue FY2023	€41,220
Revenue FY2022	€38,096
Net Financial Debt FY2024	€3,200

HISTORICAL RATIOS

Gross Margin	28.5%
SG&A % of Revenue	14.5%
EBITDA Margin FY2024	14.0%
D&A % of Revenue	3.0%
Interest Coverage	11.5
Implied Interest Expense FY2024	€543
Tax Rate	25.0%

PROJECTION PARAMETERS

D&A % (all years)	3.0%
Capex % (all years)	2.5%
NWC % (all years)	8.0%
Terminal Growth Rate	2.5%

SCENARIOS

BEAR - Revenue Growth	3.0%
BEAR - EBITDA Margin (all years)	13.0%
BASE - Revenue Growth	8.0%
BASE - EBITDA Margin Yr1	14.5%
BASE - EBITDA Margin Yr2-5	15.0%
BULL - Revenue Growth	12.0%
BULL - EBITDA Margin (all years)	15.5%

LBO STRUCTURE

Entry EV	€75,000
Equity %	40.0%
Equity Invested	€30,000
Senior Debt	€45,000
LBO Interest Rate	7.0%

Annual Amortization	€5,000
Exit Multiple	12.0x
WACC INPUTS	
Risk-Free Rate (10Y OAT)	3.3%
Equity Beta	0.85
Equity Risk Premium	5.5%
Pre-Tax Cost of Debt	5.5%
Debt Weight	30.0%
Equity Weight	70.0%
DERIVED WACC	
Cost of Equity	8.0%
After-Tax Cost of Debt	4.1%
WACC	6.8%

INCOME STATEMENT + FCF BRIDGE

	FY2022	FY2023	FY2024	FY2025E
Revenue	€38,096	€41,220	€44,600	€48,168
Revenue Growth		8.2%	8.2%	8.0%
Gross Profit	€10,857	€11,748	€12,711	€13,728
SG&A	(€5,524)	(€5,977)	(€6,467)	(€6,984)
EBITDA	€5,333	€5,771	€6,244	€6,984
EBITDA Margin	14.0%	14.0%	14.0%	14.5%
D&A	(€1,143)	(€1,237)	(€1,338)	(€1,445)
EBIT	€4,190	€4,534	€4,906	€5,539
Tax	(€1,048)	(€1,134)	(€1,227)	(€1,385)
NOPAT	€3,142	€3,400	€3,679	€4,154
FREE CASH FLOW BRIDGE (Unlevered)				
	FY2022	FY2023	FY2024	FY2025E
Add back D&A	€1,143	€1,237	€1,338	€1,445
Less: Capex	(€952)	(€1,031)	(€1,115)	(€1,204)
Less: Change in NWC		(€250)	(€270)	(€285)
UNLEVERED FREE CASH FLOW		€3,356	€3,632	€4,110



FY2026E	FY2027E	FY2028E	FY2029E
€52,021	€56,183	€60,678	€65,532
8.0%	8.0%	8.0%	8.0%
€14,826	€16,012	€17,293	€18,677
(€7,543)	(€8,147)	(€8,798)	(€9,502)
€7,803	€8,427	€9,102	€9,830
15.0%	15.0%	15.0%	15.0%
(€1,561)	(€1,685)	(€1,820)	(€1,966)
€6,242	€6,742	€7,282	€7,864
(€1,561)	(€1,686)	(€1,820)	(€1,966)
€4,681	€5,056	€5,462	€5,898
FY2026E	FY2027E	FY2028E	FY2029E
€1,561	€1,685	€1,820	€1,966
(€1,301)	(€1,405)	(€1,517)	(€1,638)
(€308)	(€333)	(€360)	(€388)
€4,633	€5,003	€5,405	€5,838

WACC CALCULATION - BioFresh

STEP 1 - Cost of Equity (CAPM)

Risk-Free Rate	3.3%
Equity Beta	0.85
Equity Risk Premium (ERP)	5.5%
Cost of Equity	8.0%

STEP 2 - After-Tax Cost of Debt

Pre-Tax Cost of Debt	5.5%
Tax Rate	25.0%
After-Tax Cost of Debt	4.1%

STEP 3 - WACC

Equity Weight (W_e)	70.0%
Debt Weight (W_d)	30.0%
WACC	6.8%

SAS

10Y OAT - Banque de France

Damodaran

Damodaran

DCF VALUATION - BioFresh SAS

	FY2025E	FY2026E	FY2027E	FY2028E
Unlevered FCF	€4,110	€4,633	€5,003	€5,405
PV Factor	0.9362	0.8764	0.8204	0.7681
PV of FCF	€3,848	€4,060	€4,105	€4,151

ENTERPRISE VALUE BRIDGE (BASE CASE)

Sum of PV(FCF)

Terminal FCF (FY2030E)

Terminal Value (Gordon Growth)

PV of Terminal Value

ENTERPRISE VALUE (DCF)

Less: Net Financial Debt

EQUITY VALUE (DCF)

NPV OF ACQUISITION (All Three Scenarios)

Particular	BEAR	BASE	BULL
DCF Enterprise Value	€84,046	€119,959	€144,151
Less: Entry EV	(€75,000)	(€75,000)	(€75,000)
NPV of Acquisition	€9,046	€44,959	€69,151
DCF Implied EV/EBITDA	12.5x	12.2x	11.8x
LBO IRR (Yr 5 exit at 12x)	15.1%	26.7%	33.3%
LBO MOIC	2.0x	3.3x	4.2x

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SCENARIO ANALYSIS

BEAR SCENARIO - Growth 3% p.a. | EBITDA Margin 13.0%

	FY2025E	FY2026E	FY2027E
Revenue	€45,938	€47,316	€48,736
EBITDA	€5,972	€6,151	€6,336
D&A	€1,378	€1,419	€1,462
EBIT	€4,594	€4,732	€4,874
NOPAT	€3,446	€3,549	€3,656
Less: Capex	€1,148	€1,183	€1,218
Less: Increase in NWC	€107	€110	€114
UNLEVERED FREE CASH FLOW	€3,569	€3,675	€3,786
<i>PV Factor</i>	0.9362	0.8764	0.8204
<i>PV of UFCF</i>	€3,341	€3,221	€3,106

BEAR

Sum of PV

Terminal FCF

Terminal Value (Gordon Growth)

PV of Terminal Value

DCF ENTERPRISE VALUE

NPV OF ACQUISITION

BEAR - LBO RETURNS

Exit EBITDA

Exit EV

Remaining Debt

Exit Equity Value

Equity Invested

MOIC

IRR (Exit Year 5)

BASE SCENARIO - Growth 8% p.a. | EBITDA Margin 14.5%

	FY2025E	FY2026E	FY2027E
Revenue	€48,168	€52,021	€56,183
EBITDA	€6,984	€7,803	€8,427

D&A	€1,445	€1,561	€1,685
EBIT	€5,539	€6,242	€6,742
NOPAT	€4,154	€4,682	€5,057
Less: Capex	€1,204	€1,301	€1,405
Less: Increase in NWC	€285	€308	€333
UNLEVERED FREE CASH FLOW	€4,110	€4,634	€5,004
<i>PV Factor</i>	0.9362	0.8764	0.8204
<i>PV of UFCF</i>	€3,848	€4,061	€4,105

BASE

Sum of PV

Terminal FCF

Terminal Value (Gordon Growth)

PV of Terminal Value

DCF ENTERPRISE VALUE

NPV OF ACQUISITION

BASE - LBO RETURNS

Exit EBITDA

Exit EV

Remaining Debt

Exit Equity Value

Equity Invested

MOIC

IRR (Exit Year 5)

BULL SCENARIO - Growth 12% p.a. | EBITDA Margin 15.5%

	FY2025E	FY2026E	FY2027E
Revenue	€49,952	€55,946	€62,660
EBITDA	€7,743	€8,672	€9,712
D&A	€1,499	€1,678	€1,880
EBIT	€6,244	€6,994	€7,832
NOPAT	€4,683	€5,246	€5,874
Less: Capex	€1,249	€1,399	€1,567
Less: Increase in NWC	€428	€480	€537
UNLEVERED FREE CASH FLOW	€4,505	€5,045	€5,650
<i>PV Factor</i>	0.9362	0.8764	0.8204

PV of UFCF	€4,217	€4,421	€4,635
BULL			
Sum of PV			
Terminal FCF			
Terminal Value (Gordon Growth)			
PV of Terminal Value			
DCF ENTERPRISE VALUE			
NPV OF ACQUISITION			
BULL - LBO RETURNS			
Exit EBITDA			
Exit EV			
Remaining Debt			
Exit Equity Value			
Equity Invested			
MOIC			
IRR (Exit Year 5)			



FY2028E	FY2029E
€50,198	€51,704
€6,526	€6,722
€1,506	€1,551
€5,020	€5,171
€3,765	€3,878
€1,255	€1,293
€117	€121
€3,899	€4,015
0.7681	0.7190
€2,995	€2,887
	€15,550
	€4,115
	€95,263
	€68,496
	€84,046
	€9,046
	€6,722
	€80,664
	€20,000
	€60,664
	€30,000
	2.0x
	15.1%
FY2028E	FY2029E
€60,678	€65,532
€9,102	€9,830

€1,820	€1,966
€7,282	€7,864
€5,462	€5,898
€1,517	€1,638
€360	€388
€5,405	€5,838
0.7681	0.7190
€4,151	€4,198
	€20,363
	€5,984
	€138,517
	€99,596
	€119,959
	€44,959
	€9,830
	€117,960
	€20,000
	€97,960
	€30,000
	3.3x
	26.7%
FY2028E	FY2029E
€70,179	€78,600
€10,878	€12,183
€2,105	€2,358
€8,773	€9,825
€6,580	€7,369
€1,754	€1,965
€602	€674
€6,329	€7,088
0.7681	0.7190

€4,861	€5,096
	€23,230
	€7,265
	€168,176
	€120,921
	€144,151
	€69,151
	€12,183
	€146,196
	€20,000
	€126,196
	€30,000
	4.2x
	33.3%

LBO MODEL - BioFresh SAS

SOURCES & USES		
	USES	SOUR
Purchase Price	€75,000	Equity (40%)
Advisory Fees (2%)	€1,500	Senior Debt (60%)
TOTAL USES	€76,500	TOTAL SOURCES

DEBT SCHEDULE (Senior Secured)			
	FY2024	FY2025	FY2026
Beginning Debt Balance	€45,000	€45,000	€40,000
Interest Expense	(€3,150)	(€3,150)	(€2,800)
Principal Repayment		(€5,000)	(€5,000)
Ending Debt Balance	€45,000	€40,000	€35,000

CREDIT STATISTICS (Base Case EBITDA)			
	FY2024		
		FY2025	
			FY2026
EBITDA	€6,244	€6,984	€7,803
Debt / EBITDA	7.2x	5.7x	4.5x
Interest Coverage		2.2x	2.8x

EXIT ANALYSIS & RETURNS (Base Case)			
Exit EBITDA			
Exit EV/EBITDA Multiple			
Exit Enterprise Value			
Less: Remaining Debt			
Exit Equity Value			
Equity Invested			
MOIC			
Equity Cash Flows for IRR	Yr 0	Yr 1	Yr 2
	(€30,000)	-	-

IRR (Base Case)



CES
€30,000
€45,000
€75,000

FY2027	FY2028	FY2029
€35,000	€30,000	€25,000
(€2,450)	(€2,100)	(€1,750)
(€5,000)	(€5,000)	(€5,000)
€30,000	€25,000	€20,000



FY2027		
	FY2028	
		FY2029
€8,427	€9,102	€9,830
3.6x	2.7x	2.0x
3.4x	4.3x	5.6x

	€9,830	
	12.0x	
	€117,958	
	(€20,000)	
	€97,958	
	€30,000	
	3.3x	
Yr 3	Yr 4	Yr 5
-	-	€97,958

26.70%

NPV SENSITIVITY

Wacc / Revenue growth	0.0%	3.0%	5.0%	8.0%
5.00%	€79,297	€98,271	€111,919	€133,978
6.00%	€35,412	€48,667	€58,196	€73,587
6.82%	€14,583	€25,130	€32,709	€44,945
8.00%	(€4,497)	€3,579	€9,377	€18,733
9.00%	(€15,248)	(€8,559)	(€3,758)	€3,983
10.00%	(€23,136)	(€17,458)	(€13,386)	(€6,824)

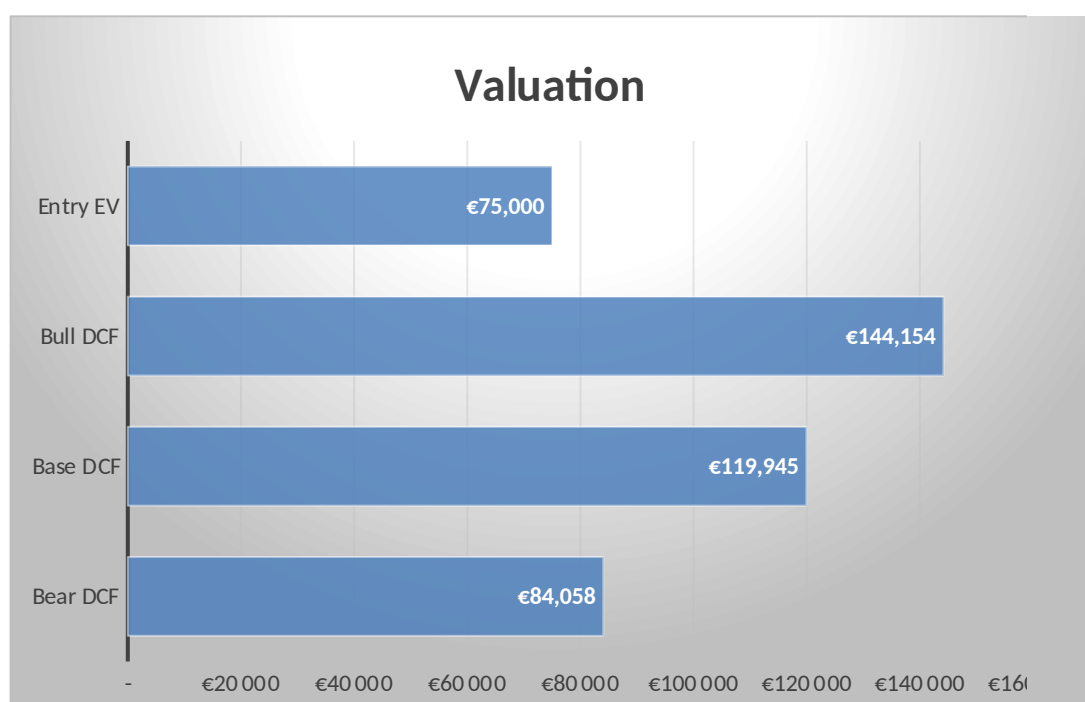
Gold = Base Case (WACC 6.82%, Growth 8%)



10.0%	12.0%	15.0%
€149,794	€166,543	€193,497
€84,617	€96,292	€115,073
€53,709	€62,984	€77,896
€25,431	€32,514	€43,898
€9,521	€15,377	€24,783
(€2,131)	€2,828	€10,791

VALUATION SUMMARY - BioFresh SAS

Method	Implied EV (€k)	vs. Offer Price
DCF - Bear Scenario	€84,046	+12.1%
DCF - Base Scenario	€119,959	+59.9%
DCF - Bull Scenario	€144,151	+92.2%
Entry EV (Offer Price)	€75,000	+0.0%



CONCLUSION & INVESTMENT RECOMMENDATION

The DCF produces the highest implied enterprise value €88M–€144M depending on scenario. Assuming an 8% revenue CAGR and margin expansion to 15%, BioFresh generates over €5.8M of unlevered free cash flow. The terminal value alone accounts for approximately 83% of total DCF value, meaning the model is highly sensitive to growth and WACC assumptions.

The offer price of €75M sits deliberately between these two bounds. Verdant pays a 31% control premium over the median €57M compensating the founders for relinquishing ownership. At the same time, Verdant pays a 31% discount to the base-case DCF value, capturing substantial upside. This is the fundamental rationale for the offer: to capture operational improvements, exit at a higher multiple.

NPV ANALYSIS & RECOMMENDATION

The acquisition NPV is positive in all three scenarios- +€13M (Bear), +€45M (Base), +€69M (Bull). Despite slower revenue growth, compressed 13% EBITDA margin, the deal generates positive value for Verda. In the bear case below the 20% hurdle but manageable, 26.7% in base case above hurdle which is 26.7% and 33.3% in the bull case.



3% growth, 13.0% margins - conservative

8% growth, 14.5-15.0% margins - base

12% growth, 15.5% margins - optimistic

Verdant Capital NBO

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because it capitalises future growth. At
ered free cash flow by FY2029. The
is acutely sensitive to the long-term

trol premium over the trading-comps
dant acquires the asset at a 37% discount
equity buy below intrinsic value, apply



ull). Even in the conservative bear case 3%
ant. The LBO generates an IRR of 16.2% in
investment committee requirement mets